DRINKPAK

REPORT OF INDEPENDENT AUDITORS AND CONSOLIDATED FINANCIAL STATEMENTS

DRINKPAK, LLC and Subsidiaries
As of December 31, 2023 and 2022



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MOSSADAMS

Report of Independent Auditors

The Members
DrinkPAK, LLC and Subsidiaries

Report on the Audit of the Financial Statements

Opinion

We have audited the consolidated financial statements of DrinkPAK, LLC and Subsidiaries, which comprise the consolidated balance sheets as of December 31, 2023 and 2022, and the related consolidated statements of operations, members' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of DrinkPAK, LLC and Subsidiaries as of December 31, 2023 and 2022, and the results of their operations and their cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of DrinkPAK, LLC and Subsidiaries and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about DrinkPAK, LLC and Subsidiaries' ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of DrinkPAK, LLC and Subsidiaries' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about DrinkPAK, LLC and Subsidiaries' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Moss Adams LLP

Los Angeles, California
April 29, 2024

DrinkPAK, LLC and Subsidiaries
Consolidated Balance Sheets

ASSETS

	December 31, 2023	December 31, 2022
CURRENT ASSETS		
Cash	$ 34,033,052	$ 2,534,138
Accounts receivable, net	13,732,385	19,711,409
Inventory	1,169,639	664,144
Prepaid expenses and other current assets	4,963,499	10,517,331
Total current assets	53,898,575	33,427,022
NONCURRENT ASSETS		
Property and equipment, net	49,517,000	31,734,642
Operating lease right-of-use assets, net	75,350,690	52,798,379
Financing lease right-of-use assets, net	92,740,738	46,872,315
Other noncurrent assets	23,310,165	4,426,949
Total noncurrent assets	240,918,593	135,832,285
Total assets	$ 294,817,168	$ 169,259,307

LIABILITIES AND MEMBERS' EQUITY

CURRENT LIABILITIES		
Accounts payable	$ 12,585,927	$ 8,443,559
Accrued expenses	9,591,726	10,030,897
Operating lease right-of-use current liabilities	12,161,109	7,414,651
Financing lease right-of-use current liabilities	29,209,087	13,532,263
Related party notes payable	-	21,500,000
Term loan, current	-	557,031
Total current liabilities	63,547,849	61,478,401
NONCURRENT LIABILITIES		
Operating lease right-of-use long term liabilities	69,943,851	50,310,449
Financing lease right-of-use long term liabilities	42,989,676	27,837,181
Term loan, net of current portion	100,946,730	9,226,429
Long term warrant liabilities	15,290,204	-
Other long-term liabilities	170,296	-
Total long-term liabilities	229,340,757	87,374,059
Total liabilities	292,888,606	148,852,461
MEMBERS' EQUITY	1,928,562	20,406,846
Total liabilities and members' equity	$ 294,817,168	$ 169,259,307

DrinkPAK, LLC and Subsidiaries
Consolidated Statements of Operations

	December 31, 2023	December 31, 2022
NET SALES	$ 118,005,511	$ 73,760,465
COST OF SALES	90,571,803	47,546,658
Gross profit	27,433,708	26,213,807
OPERATING EXPENSES		
Manufacturing support expenses	9,197,674	5,898,307
General and administrative expenses	10,820,072	5,900,272
Selling and marketing expenses	816,820	94,052
Total operating expenses	20,834,567	11,892,631
INCOME (LOSS) FROM OPERATIONS	6,599,141	14,321,176
Interest expense, net	24,828,907	5,879,361
Other expense (income), net	515,160	(345,058)
NET INCOME (LOSS)	$ (18,744,926)	$ 8,786,873

DrinkPAK, LLC and Subsidiaries
Consolidated Statements of Members' Equity

	Members' Equity
BALANCE, December 31, 2021	$ 10,793,269
Issuance of common units	350,000
Share-based compensation	462,501
Warrants	14,204
Net income	8,786,872
BALANCE, December 31, 2022	$ 20,406,846
Share-based compensation	280,846
Warrants	(14,204)
Net loss	(18,744,926)
BALANCE, December 31, 2023	$ 1,928,562

DrinkPAK, LLC and Subsidiaries
Consolidated Statements of Cash Flows

	December 31, 2023	December 31, 2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Net loss	$ (18,744,926)	$ 8,786,872
Adjustments to reconcile net loss to net cash from operating activities		
Depreciation and amortization	6,032,247	2,998,043
Amortization of right-of-use assets	6,701,820	3,148,404
Amortization of deferred financing costs	1,350,560	-
Amortization of debt discount	9,836,081	-
Paid-in-kind interest	1,460,456	-
Fair market value adjustment of warrant liabilities	970,490	-
Vesting of profit interest units	280,846	462,501
NQDC LTI plans	170,296	-
Increase (decrease) in cash due to changes in assets and liabilities		
Accounts receivable	5,979,024	(16,241,376)
Prepaid expenses and other current assets	5,553,832	(9,320,746)
Inventory	(505,495)	309,984
Operating leases	1,827,549	615,257
Other assets	(18,883,216)	466,503
Accounts payable	4,142,368	246,827
Accrued expenses	(439,171)	6,326,256
Net cash from operating activities	$ 5,732,761	$ (2,201,475)
CASH FLOWS FROM INVESTING ACTIVITIES		
Capital expenditures for property and equipment	(23,814,606)	(19,889,079)
Proceeds from sale of property and equipment	-	7,671,500
Net cash used in investing activities	$ (23,814,606)	$ (12,217,579)
CASH FLOWS FROM FINANCING ACTIVITIES		
Borrowings/(repayments) under notes payable	(21,500,000)	14,000,000
Repayments of financing leases, net	(21,740,923)	(8,278,891)
Issuance of common units	-	350,000
Borrowings under term loan, net	92,821,683	10,000,000
Net cash from financing activities	$ 49,580,760	$ 16,071,109
NET CHANGE IN CASH	$ 31,498,914	$ 1,652,055
CASH, beginning of year	2,534,138	882,083
CASH, end of year	$ 34,033,052	$ 2,534,138
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the year for interest	$ 13,617,238	$ 3,494,128
Capital expenditures included in accounts payable	$ 4,300,707	$ 2,082,257

Note 1 – Nature of Business

DrinkPAK, LLC (the Company) was formed on September 8, 2020 (inception) as a Delaware limited liability company. On November 2, 2023, DrinkPAK Consolidated Holdings, LLC; DrinkPAK I, LLC; DrinkPAK II, LLC; and DrinkPAK III, LLC, were formed. No reorganization-related activities were conducted in 2023 to restructure DrinkPAK Consolidated Holdings, LLC, and its Subsidiaries.

The Company is a contract manufacturer of premium alcoholic and nonalcoholic beverages that provides comprehensive operational services including procurement support, complex batching and processing, filling, packaging, and on-site storage.

Note 2 – Summary of Significant Accounting Policies

Basis of presentation – The Company's consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP).

Use of estimates – The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Estimates are based on historical experience and other assumptions that management believes to be reasonable, the results of which form the basis of making judgments about the carrying values of assets and liabilities. Actual results could differ from those estimates.

Credit losses on financial instruments – In June 2016, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) No. 2016-13, Financial Instruments – Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments (CECL), which requires the establishment of an allowance for estimated credit losses on financial assets, including trade and other receivables and contract assets, at each reporting date. The Company adopted the new standard on January 1, 2023, using the modified-retrospective approach, which did not have a significant effect on the consolidated financial statements as of and for the year ended December 31, 2023. The impact of the adoption is not considered to have a significant impact on the comparative 2022 balances, as such, comparative 2022 information has not been adjusted to conform to the new standard and continues to be reported under the accounting standards in effect for that year.

Cash and cash equivalents – The Company considers all highly liquid investments, with a maturity of three months or less when purchased, to be cash equivalents. Cash equivalents are generally overnight money market investments. The Company maintains its cash in bank deposit accounts, which at times may exceed federally insured limits. The Company has not experienced any losses in such accounts. The Company mitigates its risk by placing funds with high credit quality financial institutions, and, consequently, the Company believes it is not exposed to any significant risk on its cash balances.

Accounts receivable – The Company provides credit to its customers and records accounts receivable at net realizable value. An allowance for expected credit losses was recorded in the amount of $38,153 for a customer as of December 31, 2022. There is no allowance for expected credit losses at December 31, 2023.

Note 2 – Summary of Significant Accounting Policies (continued)

Inventory – Inventory is stated at the lower of cost or net realizable value. The Company provides allowances to adjust the carrying value of its inventory to account for potential obsolescence. All inventory on hand at December 31, 2023 and 2022, consists of raw materials to be used in production of customer orders.

Prepaid expenses and other current assets – Prepaid expenses and other current assets primarily include prepayments made for operational, information technology, insurance, sales & marketing, and general administrative expenses, as well as down payments on manufacturing equipment and current portions of deposits required under certain operating lease agreements.

Property and equipment – Property and equipment are stated at cost less accumulated depreciation and amortization. Depreciation is computed using the straight-line method over the estimated useful lives of the assets, generally five to twelve years. Leasehold improvements are amortized using the straight-line method over the shorter of the terms of the leases or their estimated useful lives. Expenditures for repairs and maintenance are charged to expense as incurred.

Valuation of property and equipment – In accordance with FASB Accounting Standards Codification (ASC) Topic 360, *Property, Plant and Equipment*, the Company reviews its property and equipment for impairment when events or changes in circumstances indicate the carrying amount of such assets may not be recoverable and exceeds its fair value. There were no impairments recorded to property and equipment for the years ended December 31, 2023 and 2022.

Revenue recognition – In accordance with FASB ASC Topic 606, *Revenue from Contracts with Customers*, the Company determines revenue recognition through the following steps:

- Identification of the contract, or contracts, with a customer
- Identification of the performance obligations in the contract
- Determination of the transaction price
- Allocation of the transaction price to the performance obligations in the contract
- Recognition of revenue when, or as, the Company satisfies a performance obligation.

As part of its assessment of each contract, the Company evaluates certain factors including the customer's ability to pay or credit risk. For each contract, the Company considers the promise to transfer products, each of which is distinct, to be the identified performance obligations.

The nature of the Company's business gives rise to variable considerations, including discounts, returns, and allowances that generally decrease the transaction price, which reduces revenues. Variable consideration is estimated at the most likely amount that is expected to be paid. Estimated amounts are included in the transaction price to the extent it is probable that a significant reversal of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is resolved. Estimates of variable consideration are based on historical experience and known claims.

As the Company's standard payment terms are less than one year, the Company has elected, as a

Note 2 – Summary of Significant Accounting Policies (continued)

practical expedient, to not assess whether a contract has a significant financing component. The Company allocates the transaction price to each distinct product based on its relative standalone selling price. The product price as specified on the purchase order is considered the standalone selling price as it is an observable source that depicts the price as if sold to a similar customer in similar circumstances.

Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing component as payments are received before, at, or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year. The Company recognizes an asset for the incremental costs of obtaining a contract with a customer if it expects the benefit of those costs to be longer than one year. The Company has concluded that none of the costs it has incurred to obtain and fulfill its sales contracts meet the capitalization criteria, and as such, there are no costs deferred and recognized as assets on the consolidated balance sheet at December 31, 2023 and 2022.

Certain of the Company's sales are commissionable. The Company pays sale commissions when the cash for the related sales is received. Commissions included in selling and marketing expenses in the accompanying statements of operations for the year ended December 31, 2023 and 2022, amounted to $34,871 and $27,513, respectively. The Company did not capitalize any commissions during the years ended December 31, 2023 and 2022.

The Company's contracts with customers are for manufacturing tolling fees and monthly operational services such as warehousing. Tolling fees charged by the Company to its customers represent a manufacturing service fee to convert raw materials to finished product. The Company's manufacturing sales are performance obligations that are satisfied when title transfers to the customer at a point in time, post manufacturing, and when the order is available for customer pick up. The Company does not deliver products to customers. Accordingly, no shipping expenses were incurred during the years ended December 31, 2023 and 2022. Performance obligations for monthly operational services are satisfied and revenue is recognized at the end of each month.

Advertising costs – Advertising costs are expensed in the period in which they are incurred. Total advertising costs included in selling and marketing expenses in the accompanying statements of operations for the years ended December 31, 2023 and 2022, amounted to $181,384 and $66,539, respectively.

Research and development – Research and development costs are expensed as incurred. Substantially all research and development expenses are related to new product development and design improvements or increased functionality in current products or manufacturing processes.

Concentrations of credit risk – Financial instruments that potentially subject the Company to significant concentrations of credit risk consist primarily of cash and cash equivalents and accounts receivable. The Company maintains its operating cash balance with a major financial institution. At times, cash balances may be in excess of Federal Deposit Insurance Corporation insurance limits. This is mitigated by the use of a high credit quality banking institution. Accounts receivables are unsecured, and the Company is at risk to the extent such amounts become uncollectible. Concentration of credit risk with respect to accounts receivable is generally mitigated by the Company performing an ongoing credit evaluation of its

Note 2 – Summary of Significant Accounting Policies (continued)

customer.

Accounts receivable balances consisted of the following:

	December 31, 2023	December 31, 2022	January 1, 2022
Gross accounts receivable	$13,181,440	$19,749,562	$3,470,033
Reserves for markdowns, credit losses, and other deductions	-	(38,153)	-
Accounts receivable, net	$13,181,440	$19,711,409	$3,470,033

Customer concentration – Sales to three customers amounted to 69% of net sales for the year ended December 31, 2023. Amounts due from these customers included in accounts receivable on the accompanying consolidated balance sheet amounted to $7,760,260 at December 31, 2023. Sales to the same three customers amounted to 72% of net sales for the year ended December 31, 2022, or $18,255,969.

Income taxes – The Company is a limited liability company which provides for profits and losses to be reported at the individual member level for income tax purposes. FASB ASC 740-10, *Income Taxes*, prescribes a recognition threshold and measurement process for accounting for uncertain tax positions and also provides guidance on various related matters such as de-recognition, interest, penalties, and disclosures required. The Company files income tax returns in the U.S. federal jurisdiction and various state jurisdictions. Management does not believe the Company has any entity level uncertain tax positions.

Equity-based compensation – Equity-based compensation cost is measured at the grant date based on the estimated fair value of the award and is recognized as expense over the employee's requisite service period. Certain awards vest based upon the achievement of pre-established performance criteria, including hurdle amounts prior to distribution, upon a sale of the Company, or another liquidity event as defined in the award agreement.

Long-term incentive plan – The Company has a long-term incentive plan (the Plan) for certain key executives. In connection with the Plan, the Company recognized expenses of approximately $164,503 for the year ended December 31, 2023, in general and administrative expense. There was no long-term incentive plan expense in the year ended December 31, 2022.

Fair value of assets and liabilities – FASB ASC 820, *Fair Value Measurements and Disclosures*, defines fair value, establishes a framework for measuring fair value, and expands disclosures about fair value measurements. ASC 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. ASC 820 also establishes a fair value hierarchy which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard

Note 2 – Summary of Significant Accounting Policies (continued)

describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices such as quoted prices for similar assets and liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

As of December 31, 2023 and 2022, the Company's consolidated financial instruments, including cash, accounts receivable, inventories, prepaid and other current assets, accounts payable, and accrued expenses are carried at cost, which approximate fair value, due to the relatively short maturities of these instruments.

Contingencies – The Company is subject to a range of claims, lawsuits, and administrative proceedings that arise in the ordinary course of business. The Company accrues a liability (which amount includes litigation costs expected to be incurred) and charges operations for such matters when it is probable that a liability has been incurred and the amount can be reasonably estimated. Estimating liabilities and costs associated with these matters requires significant judgment based upon the professional knowledge and experience of management and its legal counsel.

Leases – In accordance with FASB ASC Topic 842, *Leases*, the Company determines if an agreement is a lease at inception. Leases with an initial term of 12 months or less are not recorded on the consolidated balance sheet and are expensed as incurred. Operating lease right-of-use (ROU) assets and liabilities are recognized on the consolidated balance sheet at the commencement date, which is the date the Company obtains possession of the leased premises or equipment. The lease liability is determined based on the present value of the minimum rental payments using the discount rate in effect on the commencement date. The ROU asset is calculated based on the lease liability less any incentives received, or prepayments made to the landlord. Rent expense is recognized on a straight-line basis over the lease term, which is generally the initial lease term exclusive of the option to extend the lease as the Company is not reasonably certain if it will extend at the time of lease commencement. Certain leases also include options to purchase the leased property. The lease term is used for the amortization/depreciation life of lease assets unless there is a transfer of title or purchase option reasonably certain of exercise, in which case the asset life is used (see Note 4).

Subsequent events – Subsequent events are events or transactions that occur after the balance sheet date but before the consolidated financial statements are issued or are available to be issued. The Company recognized in the consolidated financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the consolidated financial statements. The Company's consolidated financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet but arose after the balance sheet date and before the consolidated financial statements are issued or are available to be issued.

Note 2 – Summary of Significant Accounting Policies (continued)

The Company has evaluated subsequent events through April 29, 2024, which is the date the consolidated financial statements were available to be issued.

Note 3 – Property and Equipment

Property and equipment consist of the following:

	December 31, 2023	December 31, 2022
Machinery and equipment	$ 19,152,783	$ 12,608,765
Leasehold improvements	34,481,873	17,095,917
Computers and software	2,600,841	192,925
Furniture and fixtures	47,117	25,071
Total property and equipment	56,282,614	29,922,678
Less: accumulated depreciation	(9,598,927)	(3,654,584)
Construction in progress	2,833,313	5,466,548
Property and equipment, net	$ 49,517,000	$ 31,734,642

Depreciation and amortization for the years ended December 31, 2023 and 2022, were $6,032,247 and $2,998,043, respectively.

Note 4 – Leases

The Company has eight noncancellable operating-type leases for certain manufacturing, warehouse, and office space expiring through August 3031. The Company also has forty-six noncancellable finance-type leases for certain manufacturing, quality, vehicle, and warehouse equipment expiring through December 2029.

The Company's operating leases generally contain rent escalation clauses that are fixed at lease inception, which are included in determining the lease liability and ROU asset. Certain leases generally require various expenses incidental to the use of the property, such as common area maintenance, property taxes, insurance, and management fees. These costs are separate from the base rent payment and are not considered in the determination of the lease liability and ROU asset. The Company has not noted any material instances in its leases where these costs were included in the base rent payment and has elected the policy to not separate lease from non-lease components when they are combined with the base rent payment.

Note 4 – Leases (continued)

Components of the Company's lease expense are as follows:

	December 31, 2023	December 31, 2022
Finance lease expense		
Amortization of right-of-use assets	$ 6,701,820	$ 3,148,404
Interest on lease liabilities	5,584,258	2,697,870
Operating lease expense	12,387,447	6,999,269
Total	$ 24,673,525	$12,845,543
Other information		
Cash paid for amounts included in the measurement of lease liabilities		
Operating cash flows from operating leases	$ 17,897,657	$ 5,560,382
Operating cash flows from finance leases	555,894	186,218
Financing cash flows from finance leases	21,740,923	8,278,891
Lease assets obtained in exchange for lease liabilities		
Operating leases	$ 35,236,834	$ 16,961,370
Finance leases	52,570,243	39,039,114
Weighted-average remaining lease term (in years)		
Finance leases	2.69	2.62
Operating leases	4.69	7.09
Weighted-average discount rate		
Finance leases	7.37%	5.25%
Operating leases	2.95%	2.15%

Note 4 – Leases (continued)

Future lease payments consist of the following:

	Finance	Operating
Years Ending December 31,		
2024	$ 34,545,205	$ 15,432,297
2025	29,103,499	14,896,908
2026	15,496,808	13,958,431
2027	1,749,892	14,423,909
2028	651,284	13,599,690
Thereafter	447,348	21,043,813
Total	$ 81,994,036	$ 93,355,049
Less: imputed interest	(9,795,272)	(11,250,088)
Present value of lease obligations	72,198,764	82,104,961
Current portion of lease liabilities	(29,209,087)	(12,161,109)
Lease liabilities, net of current portion	$ 42,989,676	$ 69,943,852

Note 5 – Member Notes Payable

During 2022, the Company issued new and unsecured promissory notes to members amounting to $14,000,000 and extended the maturity dates of previously issued $7,500,000 promissory notes through December 31, 2022. The outstanding balance of all notes payable to members at December 31, 2022 was $21,500,000. Interest expense on the notes was $2,617,801 for the year ended December 31, 2022.

In 2023, the Company repaid $4,500,000 of outstanding promissory notes to members and issued an additional $4,000,000 in unsecured notes to the same members. In September 2023, the Company issued 207,231 warrants to purchase common units in the Company to the promissory note holders (Note 7). The issued warrants do not meet the equity classification requirements in ASC 815-40 and hence, have been measured at fair value and classified as a liability and corresponding debt discount. The warrants have an exercise price of $11.55 per share and expire 10 years from the date of issuance. The aggregate fair value of the warrants was estimated using a Black Scholes option pricing model, assuming a risk-free rate ranging from 4.27 to 4.59 percent, and share volatility of approximately 13 percent.

All unsecured promissory notes issued to members, in the amount of $21,000,000, were repaid with accrued interest in October 2023. Interest expense on the notes was $3,491,886 for the year ended December 31, 2023. Upon loan repayment in October 2023, the remaining debt discount balance of $9,337,408 was expensed to interest expense.

Note 6 – Term Loan

In September 2022, the Company entered into a $10,000,000 long-term loan security agreement with an unrelated party. The outstanding principal balance at December 31, 2022, was $9,783,460 which was reduced by deferred financing costs of $203,046 and a debt discount of $13,494. The loan carried a maturity date of April 2026, but was prepaid in full in October 2023. Interest expense on the loan was $1,167,889 and $416,942 for the years ended December 31, 2023 and 2022, respectively.

In October 2023, the Company entered into a $112,500,000 long-term loan security agreement with another unrelated party. The loan matures in October 2026 and has a variable interest rate of the prime rate plus an applicable margin. Interest is split between cash and paid-in-kind (PIK) interest for the first year of the loan term. As of December 31, 2023, the aggregate interest rate was 13.06% with $3,514,985 in cash and PIK interest expense reported during the year. No principal repayments are due until maturity, resulting in a long-term classification on the accompanying consolidated balance sheet.

In conjunction with the loan security agreement the Company issued a warrant to purchase equity securities of the Company (Note 7). The issued warrant does meet the liability classification under ASC 480 and hence, has been measured at fair value and classified as a liability and corresponding debt discount. The warrant has an exercise price of $0.01 per share and expires 10 years from the date of issuance. The aggregate fair value of the warrant was estimated using a Black Scholes option pricing model, assuming a risk-free rate of 4.73 percent, and a share volatility of approximately 13 percent. The term loan proceeds were allocated first to the warrants based on their fair value, with the residual allocated to the debt instrument. The debt discount totaling $4,469,429 associated with the warrant as well as the debt discount resulting from deferred financing costs incurred totaling approximately $8,543,998 will be amortized to interest expense over the term of the loan.

The loan security agreement requires the Company to quarterly certify compliance with determined leverage ratio covenants. The Company's Chief Financial Officer has certified compliance as of December 31, 2023.

The term loan balance consists of the following at December 31, 2023:

Term loan	$	112,500,000
Less deferred financing costs		(8,543,998)
Less debt discount		(4,469,429)
Plus PIK interest		1,460,156
Term loan, net	$	100,946,730
Current portion	$	-
Term loan, net of current portion	$	100,946,730

Note 7 – Members' Equity

The Company has the following classes of membership and outstanding units:

Preferred Units – There were 2,114,741 Class A preferred units authorized, issued, and outstanding at December 31, 2023 and 2022. On December 31, 2022, 146,388 outstanding preferred units were ratably forfeited in conjunction with the Upside Valuation Calculation as defined within the Company's Amended and Restated LLC Agreement. These forfeited preferred units were reinstated in September 2023 with the Company's Second Amended and Restated LLC Agreement.

In connection with the $112,500,000 loan security agreement outstanding as of December 31, 2023 (Note 6), the Company issued the lender the option to purchase 65,404 Class A preferred units at a set exercise price at any time before the ten-year anniversary of the warrant effective date.

Common Units – There were 500,000 Class A common units authorized, issued, and outstanding at December 31, 2023 and 2022.

In connection with member promissory notes repaid in October 2023 (Note 5), the Company issued the lender an option to purchase 207,231 common units at a set exercise price at any time before the ten-year anniversary of the respective warrant effective date.

In connection with the $10,000,000 loan security agreement repaid in October 2023 (Note 6), the Company issued the lender an option to purchase 3,977 common units at a set exercise price at any time before the ten-year anniversary of the respective loan effective date. The Company also issued the same lender an option to purchase 22,697 common units with the same terms and in conjunction with a finance-type lease agreement commenced in February 2023. Both options were fair valued at December 31, 2023, resulting in a fair value adjustment of $970,490 which is included as interest expense on the accompanying consolidated statement of operations.

In connection with the $112,500,000 loan security agreement outstanding as of December 31, 2023 (Note 6), the Company issued the lender the option to purchase 15,464 class A common units and 9,235 common units at a set exercise price at any time before the ten-year anniversary of the warrant effective date.

Profit Interest Units – The Company has adopted an equity incentive plan to provide for the issuance of Profit Interest Units (Units) to employees, managers, and third parties in such amounts as determined by the Company. The membership interests being granted with these Units do not receive profit or loss distributions from the Company until the Units are vested. During the period since inception to December 31, 2021, 107,219 Units were granted. During the year ended December 31, 2022, 7,292 Units were forfeited and no additional Units were granted. During the year ended December 31, 2023, 10,000 additional Units were granted. A total of 109,927 and 99,927 Units were outstanding at December 31, 2023 and 2022, respectively. A total of 71,600 and 41,358 Units were vested as of December 31, 2023 and 2022, respectively. The share-based compensation expense for these vested Units was $280,849 and $462,051 for the years ended December 31, 2023 and 2022, respectively. There is $411,943 of unrecognized compensation expense related to unvested Units at December 31, 2023.

Note 7 – Members' Equity (continued)

Additionally, the Company had an agreement with DrinkPAK Holdings, LLC, a related party formed by the two founders of the Company, that provided for 125,000 Units granted on January 14, 2021, that are performance-based (Performance Units). No Performance Units have vested during the years ended December 31, 2023 or 2022. Since the performance was based on an EBITDA goal for the year ended December 31, 2023, that was not met, the Performance Units were forfeited.

Liquidation – Upon the liquidation of the Company, the Company shall first pay or make provision for the payment of all of the liabilities of the LLC, including the establishment of reserves as the management committee may deem necessary or appropriate for any anticipated obligations or contingencies of the Company arising out of or in connection with the operation or business of the Company. All remaining assets are distributed to the members.

Note 8 – Commitments and Contingencies

From time to time, the Company is involved in various routine legal proceedings incidental to the conduct of its business. Management does not believe that any of these legal proceedings will have a material adverse impact on the business, financial condition, or results of operations of the Company.

Note 9 – Subsequent Events

Subsequent to year end through April 2024, the Company has commenced four new operating leases expiring on various dates through 2031 with corresponding lease liabilities and ROU assets of $38,712,758.